WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

YEMEN

Middle East

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Aden	Interim seat of the internationally recognised government and headquarters of the Central Bank of Yemen; deep-water port, Aden Free Zone and Saudi-funded upgrades to the airport, roads and Yemen's first desalination plant of its kind	Port logistics, power and water, construction, healthcare
Hadramawt (Mukalla, Seiyun, Masila basin)	Largest government-administered governorate and home of the main oil-export infrastructure, idle since late 2022; Saudi-funded road, hospital and university projects under way	Oil and gas (on restart), fisheries, education, transport
Marib	Government-held governorate in the interior, linked by the Al-Abr road, where two Saudi-funded phases totalling 90 km are complete and the final phase is planned	Energy, road transport, education
Al-Mahrah and Socotra	Eastern governorate and island with Saudi-funded hospitals, colleges and the King Salman Medical and Educational City	Healthcare, education, fisheries
Taiz and the west coast (Mokha)	Planned 30 MW Saudi-funded power plant in Taiz; Mokha port suspended operations in August 2026 after Houthi missile attacks	Power generation, port rehabilitation, agro-processing
Shabwa, Abyan and Lahj	Southern governorates receiving Saudi-funded hospitals, model schools and an agricultural value-chain programme	Agriculture, healthcare, education services
Houthi-controlled areas (Sana'a, Hodeidah, Ras Isa)	Ports here handled 67% of Yemen's imports in 2025, but the authorities are a US-designated Foreign Terrorist Organization	Licensed humanitarian supply only (food, medicine, medical devices)

INVESTOR ENTRY ROUTES

- Investment Law No. 15 of 2010, administered by the General Investment Authority, which approved 68 projects between 2015 and 2023 and publishes a guide to around 100 investment opportunities
- Aden Free Zone, the country's first commercial and industrial free zone, with an industrial area of about 1,900 hectares next to the Port of Aden

- Central Bank of Yemen (Aden) foreign-exchange regime: the National Committee for Regulating and Financing Imports prioritises foreign currency for essential goods, with caps on currency access, so investors should plan for staged repatriation
- Saudi Development and Reconstruction Program for Yemen (SDRPY), which has completed 240 projects since 2018 and is delivering a new SR1.9 billion, 28-project package in health, energy, education and transport
- World Bank-funded programmes implemented through UN agencies, including the proposed $120 million RESET electricity project for Aden and privately operated solar mini-grids (board date November 2026)
- Humanitarian trade under OFAC General License 22A (agricultural commodities, medicine and medical devices) and General License 26A (port and airport operations, excluding refined petroleum products), for any unavoidable dealings in Houthi-controlled areas
- Banking through institutions headquartered in Aden, as banks continue to relocate from Sana'a to reduce sanctions exposure

MARKET-ENTRY OBSERVATION

Yemen in October 2026 is a market defined by conflict and divided authority, but the government-administered areas have shown real stabilisation. After the rial reached about 2,905 to the dollar in Aden in mid-July 2025, Central Bank of Yemen controls and Saudi support brought it back to about 1,600 from August 2025, where it has broadly held; the food basket fell 29.7% from its peak and the share of households with inadequate food consumption eased from 70% to 57% by February 2026. The current account deficit narrowed to 14.7% of GDP in 2025 from 26.6%, and remittances of about $1.98 billion, roughly a quarter of GDP, continue to underpin household incomes. The World Bank estimates real GDP fell 1.5% in 2025 on a nominal base of about $19.6 billion and expects a smaller 0.5% contraction in 2026. Politically, the Presidential Leadership Council contained the Southern Transitional Council's December 2025 takeover of eastern governorates within about two weeks, the STC announced its dissolution in January 2026, and a new 34-member cabinet under Prime Minister Shaya Mohsen al-Zindani took office in February 2026, backed by a SR1.3 billion Saudi grant for public salaries.

Yemen's central structural challenge is that the country remains divided and its main source of foreign currency is idle: oil exports have earned no foreign exchange since Houthi attacks on export terminals in late 2022, government revenue fell to 5.6% of GDP in 2025 and reserves at the central bank are about $1.2 billion, roughly one month of imports. The 2026 regional war added pressure, with the Houthis entering the conflict in March and declaring a blockade of Saudi-linked shipping in July. The mitigations are substantive: sustained Saudi grants and reconstruction finance, a central bank in Aden that has regained control of the exchange rate, remittance flows of about $2 billion a year and donor programmes that pay contractors in hard currency. For investors, the realistic opportunity today lies in lawful, donor-financed reconstruction, power, water, health and logistics in government-administered areas, and in building the relationships and compliance readiness that will matter when a political settlement allows oil exports and wider recovery to resume.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Conflict and divided authority	The internationally recognised government administers Aden, the south and east, while the Houthis hold Sana'a and much of the populous north; no comprehensive peace settlement is in place	Confine activity to government-administered areas, take security and political-risk advice, and use donor-backed contract structures that carry their own safeguards
US Foreign Terrorist Organization designation of the Houthis	Ansarallah has been a US Foreign Terrorist Organization since 5 March 2025, in addition to its 2024 terrorist designation; material support carries criminal and secondary-sanctions exposure, and a Sana'a bank has been sanctioned	Engage sanctions counsel, screen every counterparty, port and consignee, and rely only on applicable general licences such as GL 22A and GL 26A
UN and UK sanctions	UN measures under resolution 2140 were renewed to 14 November 2026, with a targeted arms embargo under resolution 2216; the UK regime applies to designated persons only and places no general restrictions on trade	Screen against UN, UK, EU and US lists, and monitor the Security Council renewal due in November 2026

Issue	Potential Impact	Possible Mitigation
Red Sea and Bab el-Mandeb security	Attacks on shipping fell to 7 in 2025 from 150 in 2024, but resumed in 2026; the Houthis declared a blockade of Saudi-linked shipping in July and maritime threat levels are rated substantial	Use war-risk insurance and experienced carriers, route cargo through Aden and the eastern ports, and build freight-cost scenarios into planning
Oil exports halted since late 2022	The loss of oil revenue has reduced foreign-exchange earnings and cut government revenue to 5.6% of GDP in 2025	Saudi grants and fuel support cushion the budget; position for oilfield, terminal and service work once exports can safely restart
Currency, payments and banking	The rial has swung sharply, the central bank caps foreign-currency access and correspondent banking has been disrupted by sanctions	Contract in hard currency where possible, use donor and Aden-based banking channels, and allow extra time for payments and repatriation
Power and fuel shortages	Fuel imports fell 25% in 2025 and reached a historic low in March 2026, causing prolonged outages	Plan on-site generation; the shortfall creates demand for solar, mini-grid and efficiency investment supported by World Bank and Saudi programmes

INVESTOR RISK NOTE

Yemen is a legally and physically constrained market, and compliance is the starting point of any engagement. The Houthis (Ansarallah), who control Sana'a and much of the north, are designated by the United States as a Foreign Terrorist Organization and a Specially Designated Global Terrorist; providing material support to them carries criminal and secondary-sanctions exposure, petroleum deliveries to Houthi-controlled ports are no longer licensed, and a Sana'a bank has been sanctioned. UN asset-freeze and travel-ban measures under resolution 2140 run to 14 November 2026, a targeted arms embargo applies under resolution 2216, and the UK applies its own designated-person regime. Shipping in the southern Red Sea and Bab el-Mandeb remains exposed to Houthi attacks, which resumed in 2026 during the wider regional war. Within these limits, lawful opportunity exists: trade and investment with the internationally recognised government and businesses in Aden and the south and east are not subject to general sanctions, and Saudi, World Bank and UN programmes are financing power, water, health and transport. Investors should take specialist sanctions and security advice, screen all counterparties and logistics routes, work in government-administered areas, and treat Yemen as a reconstruction market for which early, careful preparation will pay off when a settlement is reached.

MARKET ACCESS

Yemen has been a member of the World Trade Organization since 2014, when it became the organisation's 160th member. Its location on the Bab el-Mandeb strait between the Red Sea and the Gulf of Aden places it on one of the world's principal shipping lanes, and the Port of Aden and the Aden Free Zone provide a natural sheltered harbour adjacent to international routes. Saudi Arabia is the most important economic partner, as the largest source of grants and reconstruction finance and the origin of about 60% of remittances. Non-oil exports were about 392,000 tonnes in 2025, well below pre-2022 levels, while Houthi-controlled Red Sea ports handled 67% of imports in 2025, down from 75% the year before, as more trade moved through government-administered ports. A restart of oil exports from Hadramawt and a durable Red Sea settlement would restore Yemen's principal export channel and its role as a regional transit point.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidential Leadership Council (Chairman Rashad al-Alimi)	Head of the internationally recognised state; sets political and economic direction and appoints the government	Primary reference point for understanding the government's reconstruction and peace-process priorities
Council of Ministers (Prime Minister Shaya Mohsen al-Zindani)	New 34-member cabinet formed in February 2026; the Prime Minister also serves as Foreign Minister	Key counterpart for reform, reconstruction and donor coordination

Actor	Why It Matters	Waverley Engagement Angle
General Investment Authority	Administers Investment Law No. 15 of 2010 and maintains the national investment opportunities guide	First point of contact for licensing and incentives in government-administered areas
Central Bank of Yemen (Aden)	Manages the rial, foreign-currency allocation and banking supervision, and has restored exchange-rate stability since August 2025	Essential for understanding payment channels, currency access and bank compliance
Ministry of Finance and Ministry of Oil and Minerals	Manage public finances, salary support and the future restart of oil exports	Relevant for government contracts, energy-sector positioning and fiscal outlook
Saudi Development and Reconstruction Program for Yemen (SDRPY)	Largest reconstruction financier, with 240 completed projects and a new SR1.9 billion package	Principal channel for contractors and suppliers in health, energy, education and transport
Aden Free Zone and Yemen Gulf of Aden Ports Corporation	Operate the free zone and the Port of Aden, Yemen's main gateway in government-administered areas	Counterparts for logistics, warehousing and port-related investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The most active channels into Yemen today are its reconstruction financiers. The Saudi Development and Reconstruction Program for Yemen works closely with the government in Aden and contracts across health, energy, education and transport, while the World Bank channels grant finance through UN agencies such as UNOPS and UNDP, including the proposed RESET electricity project. UN humanitarian agencies, whose 2026 response plan seeks $2.16 billion, are significant buyers of food, medicine and logistics services. The Port of Aden has hosted delegations from Qatar, China and the United Kingdom to discuss investment opportunities, and established Yemeni family business groups and Gulf-based Yemeni investors remain the most practical local partners for international firms entering government-administered areas.

INVESTOR PROFILE BEST SUITED

Yemen suits a narrow but meaningful set of investors with strong compliance capability and long time horizons: engineering, construction and equipment suppliers bidding into Saudi, World Bank and UN-financed reconstruction; renewable-energy and mini-grid operators responding to acute power shortages; food, pharmaceutical and medical-device suppliers working within humanitarian licences; logistics, port and warehousing operators focused on Aden; and Gulf and diaspora investors with established local relationships. Oil and gas investors should treat Yemen as a restart opportunity contingent on security, and all investors should avoid any dealings that could benefit the Houthis or other designated persons.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Obtain specialist sanctions and legal advice before any engagement
Map US, UN, UK and EU obligations, including the FTO designation and applicable general licences, and set up continuous screening of counterparties, ports, vessels and banks.

STEP 2: Focus on government-administered areas and engage the General Investment Authority
Use the Investment Law, the Aden Free Zone and Aden-based banks as the foundation for any licensed presence.

STEP 3: Bid into donor- and Saudi-financed reconstruction programmes
Register with SDRPY, World Bank-funded UN implementers and humanitarian procurement systems, which offer hard-currency payment and established safeguards.

STEP 4: Build Red Sea security and logistics scenarios into planning
Secure war-risk insurance, route cargo through Aden and the eastern ports, and plan for freight and fuel-cost volatility.

STEP 5: Position for a political settlement and oil-export restart
Track the UN sanctions renewal in November 2026, the peace process and oil-terminal security so that relationships and approvals are in place when wider recovery begins.